

horizontal bottom trendline because the formation is most likely a descending triangle. For a falling wedge, both trendlines *must* slope downward.

Volume trend. The volume trend is usually downward. This is not an inviolate rule; it is only a guideline that usually rings true.

Breakout direction, confirmation. The breakout can be upward or downward, and it happens when price closes outside of the trendline boundary. In this example, price breaks out upward in mid-June and reaches the ultimate high in early October. The rise, at 17% from the breakout, is well below average.

Duration. The wedge should have a minimum duration of 3 weeks, and seldom does it last longer than 4 or 5 months. The wedges in this study, for example, have durations from 3 weeks to about 11 months. Durations shorter than 3 weeks are probably pennants (if they have a flagpole).

Why do falling wedges act as they do? About half of the wedges act as consolidations of the prevailing price trend. Like the wedge shown in the figure, price is heading upward when it runs into turbulence. Investors pause from their buying spree and sit on the sidelines. Price retraces its rise by creating the wedge, oscillating in ever-narrowing spirals until buying enthusiasm resumes.

Volume shows this lack of enthusiasm when it recedes. When buying momentum resumes, price and volume shoot upward again after the breakout.

Think of a falling wedge not as a pattern of weakness, but one of strength, like a spring winding tighter and tighter. As a spring tightens, it shrinks, and so do price and volume in the falling wedge. During a breakout, the pent-up force releases and price bursts through the pattern's boundary and zooms upward (or downward).

Focus on Failures

Like many chart patterns, falling wedges suffer from 5% failures (see [Figure 73.3](#)). Although not shown on the chart, price began rising in early